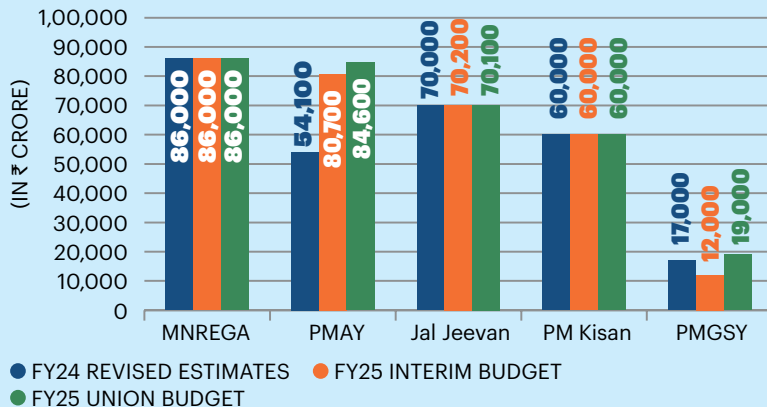


MAJOR SCHEMES

● Revenue expenditure increased by 6.2% to ₹37.09 lakh crore in FY25 BE over FY24 BE ● Part of RBI dividend has been used to announce new schemes on employment, increase allocation for others



SOURCE BUDGET DOCUMENTS, CAREEDGE RATINGS



“Value creation is at the core of our approach, and the disinvestment strategy should be more calibrated and should be subservient to that rather than an end in itself... We are also trying to align it towards market management”

TUHIN KANTA PANDEY
SECRETARY, DIPAM



“They (a GoM) are working on [GST rate rationalisation], and they will try to do it quickly because that is the ask now as GST has stabilised. The tax regime is seven years old now and the revenue is also good”

SANJAY KUMAR AGARWAL
CHAIRMAN, CBIC

CHALLENGES AHEAD

However, the path is not without challenges. Experts believe that while the intentions of the Budget are good, actual implementation and the impact on the ground would have to be seen and could take place over the next few years.

There are already murmurs about how the ELI schemes would work and whether enough jobs would be created in the private sector. But Quess Corp’s Bhatia believes that it is clear from the Budget initiatives that the government has heard the industry and also has an ear to the ground. “The fruition of many of these schemes could take a couple of years,” he says.

With just about seven months of FY25 left, the multiplier effect of increased allocations will also have to be watched, and how much of the ₹11.1-lakh crore capex budget is spent will have to be seen. In FY24, the actual capex as per the provisional accounts was lower at ₹9.48 lakh crore compared to the Budget Estimates of ₹10 lakh crore and the RE of ₹9.5 lakh crore; this was largely due to the Model Code of Conduct coming into play in the last few months of FY24.

“The economy seems to be on track for 7% growth,” says Sinha of CareEdge, adding that growth is not a concern. “But the quality of growth in terms of inclusivity, employment and consumption demand are concerns,” he says.

The FM and her officials have done their bit. A lot would depend on the line ministries, the private sector, and other factors including a normal monsoon and global developments. While growth is no longer a concern, inclusivity and equity are the key deliverables. **BT**

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